GenScript Biotech

1548.HK | Hong Kong Stock Exchange | 2026-10-11

Q4 2027 model ceiling: HKD 20.06

Analytical Base 39/60 = 65 | AIDD wet-lab growth with a separately valued listed biotech stake

20x parent-attributable forward-four-quarter fully expensed core operating profit, using the displayed quarter plus the next three. Deduct matched end-window financial debt, leases and unpaid preferred claims; credit cash above a USD150m operating reserve, 50% of the dated Legend stake market value after a further 10% tax and disposal reserve, and 50% of other investment carrying values. All model financial amounts are HKD millions at a fixed 7.847801538023967 HKD per USD; divide by end-window ordinary shares in millions.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in HKD million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: HKD 42.40 per share (2026-10-09 regular Hong Kong close, 16:08 HKT); 2,283.671 million common shares (30 September 2026 statutory monthly return); estimated equity capitalization HKD 96,827.6 million. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: no positive modeled upside at the dated 2026-10-09 regular Hong Kong close, 16:08 HKT price of HKD 42.40, so the Upside Driver split is unavailable.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	1,908.4	20x	2,317.921	20.06

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated LSG, ProBio, Bestzyme and corporate operations, excluding intercompany revenue. Legend has been an associate since October 2024 and is valued once as a holding asset, with no Legend earnings, cash or debt consolidated into core operations. Current R&D and SBC remain expensed. A cash-redemption path settles ProBio and Bestzyme preferred claims; there is no free IPO value or double minority claim.. 20x parent-attributable forward-four-quarter fully expensed core operating profit, using the displayed quarter plus the next three. Deduct matched end-window financial debt, leases and unpaid preferred claims; credit cash above a USD150m operating reserve, 50% of the dated Legend stake market value after a further 10% tax and disposal reserve, and 50% of other investment carrying values. All model financial amounts are HKD millions at a fixed 7.847801538023967 HKD per USD; divide by end-window ordinary shares in millions.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use HKD million unless a different unit is stated.

Thesis

Research date: 11 October 2026. First coverage of Hong Kong ordinary shares 1548.HK. Covered is not held. The last observed regular-session close is HKD42.40 on 9 October at 16:08 HKT. Financial tables below use USD millions for readable comparison with issuer accounts; the linked model consistently converts all financial inputs to HKD millions at 7.847801538024 HKD per USD. Share counts are millions of ordinary shares, not ADS.

The conclusion before the story

GenScript is a credible beneficiary of a larger physical bottleneck behind AI drug discovery: turning digital designs into measured biological results. Its attractive business story does not automatically make today's stock attractive. Our 20x fully expensed core-operating-profit model, plus a discounted Legend holding asset and matched balance-sheet claims, produces a Q4 2027 ceiling of **HKD20.06**, or **0.47x** the observed price. That is about 53% below the current share price, despite a strong growth path. This is a model result, not a guaranteed future market price.

The analytical Base is **65**, from 39 raw framework points. That assesses business evidence and execution risks; it is not a probability-weighted target multiplier. Under the owner's Upside Driver formula, the display is unavailable because the active forward target is below today's price. We should describe the business as a growth story without falsely labeling the stock “100% Growth” when there is no positive modeled upside to split.

Where the revenue and profit actually come from

The group sells research tools and services, develops and manufactures biologics for customers, and sells industrial enzymes. LSG is the profitable research platform. ProBio is the smaller discovery and CDMO operation. Bestzyme applies biological engineering to industrial products. Legend is a separate listed associate, not a fourth consolidated sales segment.

H1 2026 consolidated revenue was USD404.216m. LSG external revenue was USD315.218m, ProBio USD58.028m and Bestzyme USD30.387m; small corporate revenue supplied the balance. Segment headline sales include intercompany transactions and cannot simply be added together. The model uses external revenue only. The prior half contained a major LaNova license event; the underlying operating growth comparison excludes that event. A one-time milestone does not become a permanent annual revenue stream.

Source exhibit: interim report printed page 7. The adjacent model reconciles the external-sales and fully expensed-cost basis rather than copying adjusted segment results.

The reference separates an estimated AIDD validation subset from other LSG work. USD100m is assigned to AIDD in 2026, within a USD50-150m interpretation range; the rest remains ordinary gene, protein, reagent and service activity. This is an analytical allocation because the company has not published a reconciled AIDD revenue segment. It is not valid to label all gene-to-protein revenue as AI sales.

MANAGEMENT'S DISCUSSION AND ANALYSIS

BUSINESS REVIEW

During the Reporting Period, the external revenue of our three business segments: (i) GenScript Life Science Group; (ii) ProBio; and (iii) Bestzyme accounted for approximately 78.0%, 14.4% and 7.5% of the total revenue of the Group, respectively.

The following table sets forth the financial performance of our business segments during the Reporting Period and the Prior Period:

	For the six months ended 30 June 2026			For the six months ended 30 June 2025			
	GenScript Life Science Group Reported/ Underlying US$'000	ProBio Reported/ Underlying US$'000	Bestzyme Reported/ Underlying US$'000	GenScript Life Science Group Reported/ Underlying US$'000	ProBio Underlying US$'000	ProBio Reported US$'000	Bestzyme Reported/ Underlying US$'000
Revenue	**318,979**	**61,110**	**30,387**	247,639	45,523	246,883	28,283
Adjusted gross profit	**184,514**	**8,315**	**13,027**	126,316	689	181,613	11,432
Adjusted selling and distribution expenses	**(37,823)**	**(8,677)**	**(4,327)**	(34,529)	(6,146)	(6,146)	(3,631)
Adjusted administrative expenses	**(26,046)**	**(17,171)**	**(4,377)**	(22,999)	(23,334)	(23,334)	(3,668)
Adjusted R&D expenses	**(26,023)**	**(6,709)**	**(5,613)**	(22,262)	(2,981)	(2,981)	(4,693)
(Provision for)/Reversal of impairment of financial assets, net	**(604)**	**(20)**	**–**	(176)	454	454	(21)
Adjusted operating profit/(loss)	**94,018**	**(24,262)**	**(1,290)**	46,350	(31,318)	149,606	(581)

The adjusted costs and expenses exclude the impact of the equity-settled share-based compensation expense.

RESULTS ANALYSIS OF THE THREE BUSINESS SEGMENTS

GenScript Life Science Group

During the Reporting Period, revenue from GenScript Life Science Group was approximately US$319.0 million, representing an increase of 28.8% as compared with approximately US$247.6 million for the Prior Period. The adjusted gross profit was approximately US$184.5 million, representing an increase of 46.1 % as compared with approximately US$126.3 million for the Prior Period. The adjusted gross profit margin increased to 57.8% from 51.0% for the Prior Period. The adjusted operating profit was approximately US$94.0 million, representing an increase of 102.8% as compared with approximately US$46.4 million for the Prior Period.

GenScript Biotech 2026 interim report, HKEX | 2026 interim report, printed page 7: segment sales include intercompany activity and adjusted costs exclude SBC. The model instead uses consolidated external sales and fully expensed costs.

The bottleneck is accepted experimental data

A foundation model may cheaply generate another candidate sequence. That sequence still needs synthesis, expression, purification, assay work, quality control and delivery of usable data. Failed expression, inconsistent assays and contaminated samples consume capacity without producing accepted results. Revenue depends on paid orders and accepted deliverables, not the theoretical number of designs an AI model can produce.

GenScript's potential advantage is its integrated workflow. Customers can move from a sequence to biological measurements through one supplier, with less handoff between synthesis, expression and testing. A reusable protocol, consistent data structure and experienced application scientists can increase customer switching costs. The economic moat is stronger where a delay slows an expensive research program than in a commodity DNA fragment that is easily sourced elsewhere.

Management's current claims about speed, throughput and consistency are encouraging but promotional. Its comparison with Twist does not establish that both providers handled equivalent molecule complexity, assay endpoints or acceptance criteria. We do not convert an isolated customer comparison into a verified market-share gain. TWST remains a relevant alternative with its own platform advantages; a customer can also bring the workflow in-house or use multiple providers. More capacity in the industry can reduce turnaround premiums.

The AI thesis can also fail through better computational filtering. More initial designs need not mean proportionately more laboratory spending if models select fewer, better candidates. Customer budgets, assay reproducibility, pipeline attrition and willingness to outsource are the variables that matter. The active model assumes that the expansion in paid validation demand outweighs these offsets, but retains a downside branch and substantial overlap reserve.

What changed in the last two management updates

The March annual update emphasized integration, automation and differentiated services. The August interim update raised LSG and ProBio revenue-growth expectations to 25-30%, while retaining a 2027 ProBio EBITDA profitability objective. EBITDA is not operating profit; laboratory depreciation, ongoing scientific work and central costs still need to be paid. Current figures are checked against the primary written remarks because reproduced transcripts contain transcription errors.

The August Q&A supplied useful detail on the value of fast, structured experimental data and higher AIDD margins. It also discussed capital expenditure of roughly USD130m for 2026. The subsequent September equity placement is stronger evidence of actual financing than the earlier claim that no equity financing was needed. It raised HKD2327.1m net; about 70% was earmarked for AIDD capacity and 20% for associated research, digital and commercial work. That money is not free earnings and comes with 77.126m new shares.

The reference operating model

The 2026 LSG reference uses the midpoint of the issuer's current growth range on the comparable annual segment base, then applies an explicit external-sales adjustment. ProBio's external USD135m and Bestzyme's roughly USD63m are model estimates. Actual H1 external sales and costs are subtracted before allocating the remaining H2; the model does not manufacture a full-year result by doubling the first half.

The fully expensed H1 core OP anchor is about USD41.9m after removing a roughly USD7.7m tariff-refund proxy. The proxy comes from the issuer's rounded segment-margin bridge and is therefore approximate. Current R&D, SBC and credit losses remain charged. Foreign exchange marks, preferred-share fair-value changes and Legend's noncash accounting do not enter capitalized core OP. Their economic cash or ownership consequences are handled separately.

Reference AIDD sales reach USD200m in 2027, USD360m in 2028, USD600m in 2029 and USD900m in 2030, with other LSG activity growing more slowly. This is already a bullish adoption trajectory. A 68% AIDD gross margin assumes high-value data delivery and scaled workflow utilization, not a disclosed company margin forecast. Traditional LSG work is held near 51% GM. ProBio moves from 25% GM in 2027 to 42% in 2030 as facilities fill, but it does not receive a free pass on scientific and regulatory expense. Bestzyme remains smaller and more competitive.

The model separately charges rising R&D and central/commercial costs. The apparent operating leverage is the result of revenue scaling faster than those costs, not an assumption that added sales cost nothing. SBC remains in operating expenses and the share path also reflects future dilution; the cash model conservatively does not add SBC back to fund additional investment.

Calendar year	Expected revenue	Expected GP	Expected operating expense	Parent-attributable OP
2027	1,069.1	528.3	377.9	149.8
2028	1,388.0	721.7	442.6	277.7
2029	1,803.2	978.9	517.8	458.4
2030	2,304.4	1,293.8	607.9	681.7

These are probability-weighted forecasts after the explicit branches, not issuer guidance or bank consensus.

Incremental evidence under Rule 16b

GENSCRIPT-AIDD-VALIDATION

Probability 55%; overlap 60%. Additional external AIDD validation sales of USD0/30/90/180/300m in CY2026/27/28/29/30, above the reference USD100/200/360/600/900m AIDD subset. These are analyst allocations, not disclosed segment forecasts. Reserve 60% for overlap with already rapid reference growth. Residual sales earn 65% GP less 30% R&D, application scientists, assay quality, selling and support costs, or 35% incremental OP. Incremental cash capex is 20% of expected incremental sales and ordinary depreciation of 6% is already included in GP, then added back for cash only. Working capital is rebuilt. Management reports repeated AIDD doubling, paid demand extending into structured experimental data, and funding for automated wet labs. The exact AIDD revenue base, realized throughput and repeat-order retention are undisclosed, so probability is 55% rather than certainty.

GENSCRIPT-PROBIO-ORDERS

Probability 45%; overlap 50%. Additional ProBio revenue of USD0/25/50/85/120m in CY2026-30 from qualified discovery, CMC and manufacturing orders beyond the reference USD135/180/250/330/425m. After 50% overlap, residual sales earn 45% GP less 25% incremental scientific, quality, regulatory and commercial expense, or 20% OP. The branch is booked on service delivery, not order signature. Existing annual capex funds the planned facilities; incremental capex and working capital are additional. H1 orders grew 54%, with New Jersey lentiviral manufacturing and a Zhenjiang 2,000L suite progressing. AIDD orders do not establish clinical success or commercial manufacturing demand. Probability 45%.

GENSCRIPT-SPEED-PREMIUM

Probability 50%; overlap 75%. A further 2% premium on 25% of new or repriceable reference AIDD work, excluding the extra volume branch and existing fixed contracts. Reserve 75% for overlap with the high-margin AIDD reference. Residual pricing dollars contribute 80% GP less 25% expedited labor, quality and support costs, or 55% OP. Before pricing, exclude the full bounded lost-sales cohort (3.75% of reference AIDD work), even when the risk does not occur, to avoid premiums on unavailable work. Management explicitly says AI customers pay for fast feedback and structured data. Its claimed margin advantage is not an independently verified universal premium. Use a small bounded premium with 50% probability, not the entire claimed 20 percentage-point difference as new group margin.

GENSCRIPT-MARKET-ACCESS

Probability 25%; overlap 25%. Loss of 10% of the approximately 50% North American LSG business under a funding, procurement or cross-border compliance shock. Reserve 25% for ordinary uncertainty already in reference growth. Residual lost sales remove 50% GP with only 10% revenue-equivalent variable expense savings, plus USD3m annual compliance cost. Cash, capex and financing are rebuilt. Geopolitics and customer

funding are disclosed risks. This is an analyst stress probability, not a claim that GenScript is currently sanctioned or has lost a named customer.

GENSCRIPT-LANOVA

Probability 20%; overlap 100%. A hypothetical USD10-30m new milestone could be material but there is no matched milestone, date or payment evidence. The prior USD201.360m first-half license event is nonrecurring. No recurring 20x capitalization is assigned; current small ordinary license income stays within ProBio reference.

GENSCRIPT-BESTZYME-AI

Probability 50%; overlap 100%. A bounded USD5-10m additional enzyme/product opportunity by 2028 is already inside growth from about USD63m in 2026 to USD85m in 2028 and GP expansion to 46%. Single-product margin improvements are not applied to the whole segment.

GENSCRIPT-PROBIO-IPO

Probability 50%; overlap 100%. September 4 disclosed permission to proceed, not a completed offering, valuation, date, proceeds or final ownership. The current model pays preferred claims in cash and retains the operating business. An IPO must replace that treatment with actual proceeds, conversion and post-offering minority OP, not be added as free equity value.

GENSCRIPT-LEGEND

Probability 100%; overlap 100%. Legend's June-owned 174.497556m ordinary shares equal 87.248778m ADS at two ordinary per ADS. At the October 9 USD18.62 close the gross stake is USD1624.57224636m. The model credits 50% realizability and retains a further 10% tax/disposal reserve; it excludes all Legend earnings from core OP and assumes no sale or dividend for funding.

GENSCRIPT-COMPETITOR-COMPARISON

Probability 50%; overlap 100%. Management's throughput, turnaround, price and assay-variability comparisons with Twist are interested-party claims with unmatched workload and acceptance scopes. They support testing a service-quality moat but do not establish market-share displacement; no separate share-gain layer is added above the AIDD branch.

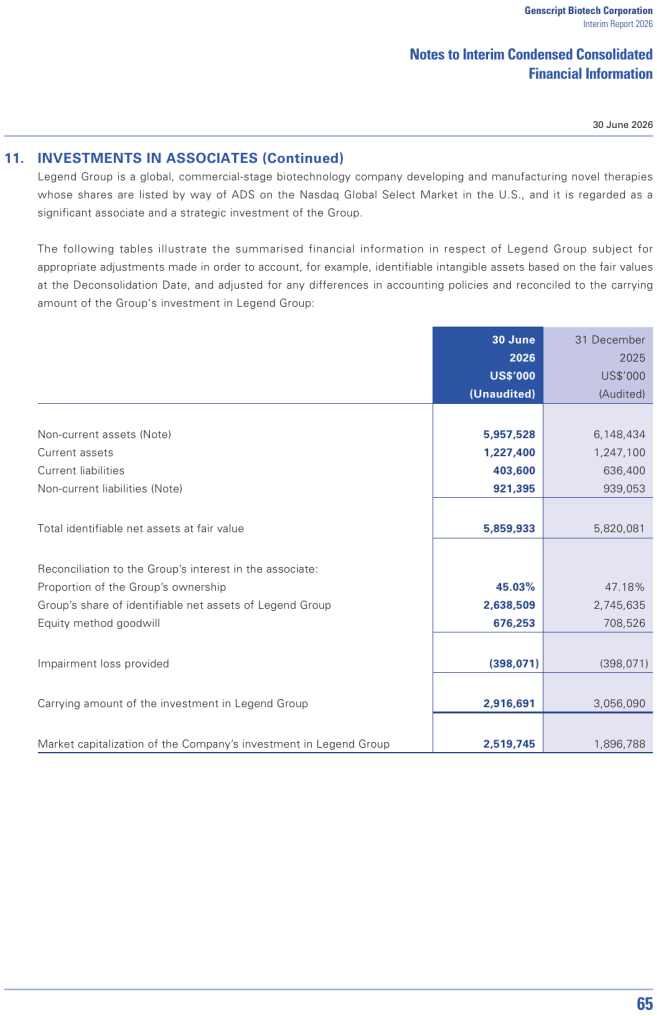
Legend: one asset, counted once

The H1 report identifies 174.497556m Legend ordinary shares owned by GenScript. Each Legend ADS represents two ordinary shares, giving 87.248778m equivalent ADS. At the separately verified 9 October USD18.62 ADS close, the gross stake mark is USD1624.572m. It is well below the June book carrying amount. Multiplying GenScript's ownership percentage by Legend sales, or adding the June book value to the current market stake, would double count or misstate the asset.

The central credit is USD731.058m: 50% of the dated market value, then a further 10% reserve for taxes, fees and disposal frictions. Neither reserve is a legal tax determination. The haircut reflects the distinction between a public mark and cash that a parent can actually realize and distribute. A large strategic block may not trade at the small-lot quote. No forced sale is assumed, and no Legend cash or future earnings fund core capital spending. The asset value remains dated and must be refreshed with material share or price evidence.

Source exhibit: interim report printed page 65. Book, ownership and market values are deliberately shown as separate concepts.

We run 0%, 50% and 100% realization cases with the disposal reserve retained. This is a holding-asset sensitivity, not a forecast of Legend's clinical value. A future full Legend model could replace the mark if separately authorized; it should not be layered on top of this credit.



11. INVESTMENTS IN ASSOCIATES (Continued)

Legend Group is a global, commercial-stage biotechnology company developing and manufacturing novel therapies whose shares are listed by way of ADS on the Nasdaq Global Select Market in the U.S., and it is regarded as a significant associate and a strategic investment of the Group.

The following tables illustrate the summarised financial information in respect of Legend Group subject for appropriate adjustments made in order to account, for example, identifiable intangible assets based on the fair values at the Deconsolidation Date, and adjusted for any differences in accounting policies and reconciled to the carrying amount of the Group's investment in Legend Group:

	30 June 2026 US$'000 (Unaudited)	31 December 2025 US$'000 (Audited)
Non-current assets (Note)	**5,957,528**	6,148,434
Current assets	**1,227,400**	1,247,100
Current liabilities	**403,600**	636,400
Non-current liabilities (Note)	**921,395**	939,053
Total identifiable net assets at fair value	**5,859,933**	5,820,081
Reconciliation to the Group's interest in the associate:		
Proportion of the Group's ownership	**45.03%**	47.18%
Group's share of identifiable net assets of Legend Group	**2,638,509**	2,745,635
Equity method goodwill	**676,253**	708,526
Impairment loss provided	**(398,071)**	(398,071)
Carrying amount of the investment in Legend Group	**2,916,691**	3,056,090
Market capitalization of the Company's investment in Legend Group	**2,519,745**	1,896,788

GenScript Biotech 2026 interim report, HKEX | 2026 interim report, printed page 65: Legend ownership, book value and June market value are different quantities. The model updates the market mark to October 9 and applies explicit realizability and disposal reserves.

Preferred interests, minority economics and common shares

The June balance sheet carries roughly USD271.6m ProBio Series C preferred liability and USD90.1m combined ProBio Series B/Bestzyme amortized-cost liabilities. Redemption and conversion rights make these economically important even when accounting classifies them differently. The current model assumes cash settlement in Q4 2027 after 8% annual accretion. That date and rate are conservative modeling assumptions, not disclosed maturities. Until paid, the remaining amount is a matched equity claim; after payment, lower cash replaces the claim. It is never subtracted twice.

The announced ProBio listing process has no adopted proceeds or valuation. An actual IPO would require rebuilding preferred conversion, cash raised, parent retention and ordinary minority OP. It cannot be treated as an incremental windfall on top of a cash-redemption model. Bestzyme's residual ordinary minority and ProBio

employee awards are separately attributed through operating profit. The analytical scope of these allocations is disclosed in the gaps below.

The starting common count is the statutory September return: 2,283.670726m shares. The remaining 9.788423m options are assumed issued in Q4, with no unverified future exercise proceeds credited. Existing award vesting and future net grants increase subsequent end-window shares. The June report has conflicting issued-share totals in different sections, so it does not override the later monthly return. No analyst target uses the old pre-placement denominator.

Cash must support the laboratory buildout

Opening usable liquidity is approximately USD810.2m, including short-duration wealth products but excluding restricted cash. The September placement and disclosed September option cash are included once in Q3. We retain a USD150m operating reserve. The model spends USD130m on 2026 capex, with actual H1 spending subtracted before the H2 forecast; 2027-30 capex is USD220m, USD200m, USD180m and USD200m before incremental branches. Those amounts cover expansion, routine replacement and software rather than pretending all depreciation is distributable cash.

The planned deployment of the placement proceeds is reflected in these spending and R&D levels, not deducted again as a separate use of proceeds. Cash also funds working-capital growth, lease principal, tax, bank interest, investment commitments and preferred redemption. Deposits and wealth products earn a modest assumed yield. Consolidated minority distributions are excluded from parent cash. Existing bank borrowing is gradually repaid, and any required new borrowing is bounded at USD250m above opening debt. The disclosed low-risk facilities are not treated as an unrestricted project revolver.

The central minimum quarter-end cash is USD579.9m, with maximum debt of USD193.2m against a USD443.2m bound. This is a quarterly funding model, not proof that every subsidiary can transfer funds at will or that intra-quarter liquidity is unlimited. Importantly, the Legend holding is never sold to make the cash model balance.

Targets, valuation and a demanding starting price

20x parent-attributable forward-four-quarter fully expensed core operating profit, using the displayed quarter plus the next three. Deduct matched end-window financial debt, leases and unpaid preferred claims; credit cash above a USD150m operating reserve, 50% of the dated Legend stake market value after a further 10% tax and disposal reserve, and 50% of other investment carrying values. All model financial amounts are HKD millions at a fixed 7.847801538023967 HKD per USD; divide by end-window ordinary shares in millions.

Displayed quarter	Model ceiling HKD	Multiple of HKD42.40	F4Q parent OP USDm	End-window ordinary shares m
Q3 2026	11.47	0.27x	116.5	2,300.246
Q4 2026	12.51	0.30x	132.6	2,303.781
Q1 2027	13.63	0.32x	149.8	2,307.599
Q2 2027	15.54	0.37x	179.2	2,310.851
Q3 2027	17.81	0.42x	211.2	2,314.386
Q4 2027	20.06	0.47x	243.2	2,317.921
Q1 2028	22.49	0.53x	277.7	2,321.738

Displayed quarter	Model ceiling HKD	Multiple of HKD42.40	F4Q parent OP USDm	End-window ordinary shares m
Q2 2028	25.29	0.60x	319.3	2,324.990
Q3 2028	28.56	0.67x	364.4	2,328.525
Q4 2028	31.83	0.75x	409.6	2,332.060
Q1 2029	35.35	0.83x	458.4	2,335.878
Q2 2029	38.85	0.92x	509.7	2,339.130
Q3 2029	42.95	1.01x	565.5	2,342.665
Q4 2029	47.04	1.11x	621.4	2,346.200
Q1 2030	51.45	1.21x	681.7	2,350.017

The Q4 2027 target uses Q4 2027 through Q3 2028 operations and Q3 2028 claims and shares. It is not calendar-2027 net income or a literal P/E. A stock trading above this modeled ceiling could still rise if growth, margins or investors' valuation assumptions exceed ours; that possibility is not evidence to lift the model automatically.

Rebuilt sensitivities

Scenario	Q4 2027 HKD	Minimum cash USDm	Maximum debt USDm	Funding result
No favorable increments	19.54	581.9	193.2	Within bound
Lower core realization	10.82	497.4	193.2	Within bound
Higher capex	19.60	473.7	193.2	Within bound
Preferred early and 20% dearer	19.88	527.5	193.2	Within bound
Joint operating and financing stress	8.86	261.3	193.2	Within bound
Legend zero realization	17.59	579.9	193.2	Within bound
Legend full realization before costs	22.54	579.9	193.2	Within bound
15x core profit	15.95	579.9	193.2	Within bound

Operating stresses rebuild the full cash path and claims. Legend realization sensitivity changes only the asset credit. The lower-revenue case retains the spending plan and is intentionally demanding; management could instead slow investment. Any funding failure would invalidate the raw target until financing or costs were changed. No favorable “growth” label is forced when the final target is below the observed share price.

What would change the conclusion

The most useful new disclosure would be a reconciled AIDD revenue base, repeat-customer order conversion, paid accepted throughput and margins excluding refunds. It would allow a tighter volume, price and cost bridge. Facility output should be measured in accepted experiments and delivered projects, not merely workstations installed. ProBio needs cash-generating utilization and operating-profit progress, not just positive adjusted EBITDA. An IPO prospectus would make the ownership and preferred-claim treatment less uncertain.

The strongest disconfirming evidence would be shorter industry lead times without adequate demand, lower accepted yields, price competition, customers moving work in-house, restricted access to important clients, or capex rising faster than the contribution from new work. A sudden increase in Legend's market value could improve the holding-asset credit, but would not prove the wet-lab thesis. A lower share price could improve the investment case without changing business quality.

Material gaps and explicit assumptions

- LSG AIDD sales, unit pricing, paid design throughput and acceptance yields are not separately reported. The USD100m 2026 AIDD allocation has a USD50-150m scope bound within total LSG sales. Reference AIDD growth is an explicit optimistic working assumption, not reported revenue guidance for that subset. - Product GP and expense allocations are estimates. H1 actual reported GP is normalized by a roughly USD7.656m tariff-refund proxy derived from the issuer's rounded 2.4-point margin bridge. SBC remains charged. The forward model assumes no recurring refund and no recurring LaNova milestone. - The primary prepared management remarks and third-party Q&A reproductions were reviewed. Q&A contains clear transcription mistakes, including annual base-pair growth turned into market share. Primary written figures control; competitive claims remain attributed and unverified. - The core model includes USD130m 2026 capex indicated in the August call. September's placement subsequently earmarked about 70% for AIDD capacity and 20% for R&D/digital/commercial work. Higher 2027-28 capex and expensed R&D are assumptions; actual spending timing and asset useful lives are undisclosed. - Preferred claims are modeled redeemed together in Q4 2027 at their June USD361.655m carrying amount compounded at 8% annually. This is a conservative financing scenario, not a disclosed maturity or agreed settlement price. The current liability label does not prove imminent cash demand. A 20% payout premium and earlier payment are stress-tested. - Bestzyme ordinary minority ownership is estimated at 6.88%, separating the 10.4168% redeemable preferred investment from the reported 83.42% parent economic interest. It is deducted from fully costed segment OP once. ProBio employee awards reach 1.8% assumed ordinary dilution over three years; no additional preferred minority earnings claim is imposed on the cash-redemption path. - September's monthly return establishes 2,283.670726m issued ordinary shares and 9.788423m remaining options. The remaining RSU pool is estimated net of post-June issuance and the June trustee pool; future annual net grants of 8m shares are an assumption. June financial and shareholding tables differ by 1.686334m shares, so September's statutory return is the controlling starting count; a full grant-register reconciliation remains a watch item. - Legend holdings are as of June, marked at the October 9 ADS close. There is no verified sale after June in the reviewed material. The 50% realizability haircut and additional 10% tax/disposal reserve are valuation assumptions, not tax advice or evidence of a distribution plan. No part of that credit is used as operating cash. - Liquid resources include USD378.691m of non-principal-guaranteed short-duration wealth products. Restricted cash is excluded. Cash pooling and repatriation may be constrained; a USD150m operating reserve is retained. Only USD250m of additional borrowing is permitted analytically, below disclosed unused general facilities of USD523.3m and excluding the separate USD499.1m low-risk facilities. - No Q3 financial statement is yet available. July-August option exercise receipts are not verified and are omitted; only the disclosed September HKD85.328526m receipt and the HKD2327.1m placement enter the modeled opening period. No future unconfirmed equity raise finances the central plan.

Source record

Primary reports and statutory share notices control the model. Source figures are facts or issuer claims; the forward allocations, probabilities and financial-asset haircuts are ASTRA model assumptions.

- H1_REPORT, 2026-09-16; local original SHA-256 424f046d62efdbd02f7df99e47c7c3cfb30203c7fa05505f46a83320c348603d. - PLACEMENT_COMPLETE, 2026-09-15; local original SHA-256 bb67eb374b5fb1f7e3198ba6f4836d8fa8d4e03e35e911f930a9a388212d5c3d. - SEPT_SHARES, 2026-10-06; local original SHA-256 a54769420a38e563615a6a65f5ac2cd957715a10a5fe495f5d385c9d001549c5. - PROBIO_SPINOFF, 2026-09-04; local original SHA-256 e271a716b256ed6a9cb3fd76ae3a3de5bdc279cdd911d9fc2fce5fc88845606f. - PRICE, 2026-10-09; local original SHA-256 373882721d7e1948ba1e7f8240e82f23507006c5eaaa75622edb544a470f418b. - annual_report_2025, 2026-04-13; local original SHA-256 a7f5ad0cd9076b83183e2e89dc0fbb8e06497eb1a800d213e5fc20fb10e64990. - legend_price, 2026-10-09; local original SHA-256 1d827d6483cec9a91260dcdd1b57a16030e6aeff63f789b7d95171b7c9d20d36. - fx, 2026-10-09; local original SHA-256 7d4cbe9044c6314416f037c7829b59bd716c01733072ae455b94d49aad90a02b. - annual_call, 2026-03-16; local original SHA-256 ad2ab6163386c762ad61814c7503acdbd6f5767fb0f40e58a54872c4e88384a3. - placing_terms, 2026-09-11; local original SHA-256 23b7684a8811060e3e3e33ed7b45b52b4421d71c3dae6df631681ff3eacfa6d0. - h1_call, 2026-08-17; local original SHA-256 f419bc2e5a1e77b5bb9a7a7ab4d5ae236ebab31ff7723febb0f791a193f7e878.

Primary prepared remarks also reviewed: https://www.genscript.com/gsfiles/IPO/2026_Interim_Results_Management_Remarks.pdf and https://www.genscript.com/gsfiles/IPO/2025_Annual_Results_Management_Remarks_EN.pdf . Direct downloads were inaccessible, while web-readable text was available. The saved reproduced calls include Q&A but contain transcription errors; the two inspected exhibit images come from the directly saved HKEX interim report.

Quarterly cash and preferred-claim reconciliation

USD million; the linked Excel uses HKD million. The USD150m operating cash reserve is excluded from equity value. No Legend sale funds the plan. September equity cash is financing, not operating revenue.

Quarter	End usable cash	Bank debt	Cash preferred settlement	Remaining preferred claim	Capex
Q3 2026	1,105.2	193.2	0.0	368.9	39.2
Q4 2026	1,075.1	168.2	0.0	376.3	42.4
Q1 2027	1,038.1	168.2	0.0	383.8	50.8
Q2 2027	1,035.9	168.2	0.0	391.5	55.2
Q3 2027	1,033.6	168.2	0.0	399.3	55.2
Q4 2027	599.1	143.2	407.3	0.0	59.7
Q1 2028	579.9	143.2	0.0	0.0	47.0
Q2 2028	614.5	143.2	0.0	0.0	51.1
Q3 2028	649.3	143.2	0.0	0.0	51.1
Q4 2028	662.1	118.2	0.0	0.0	55.2

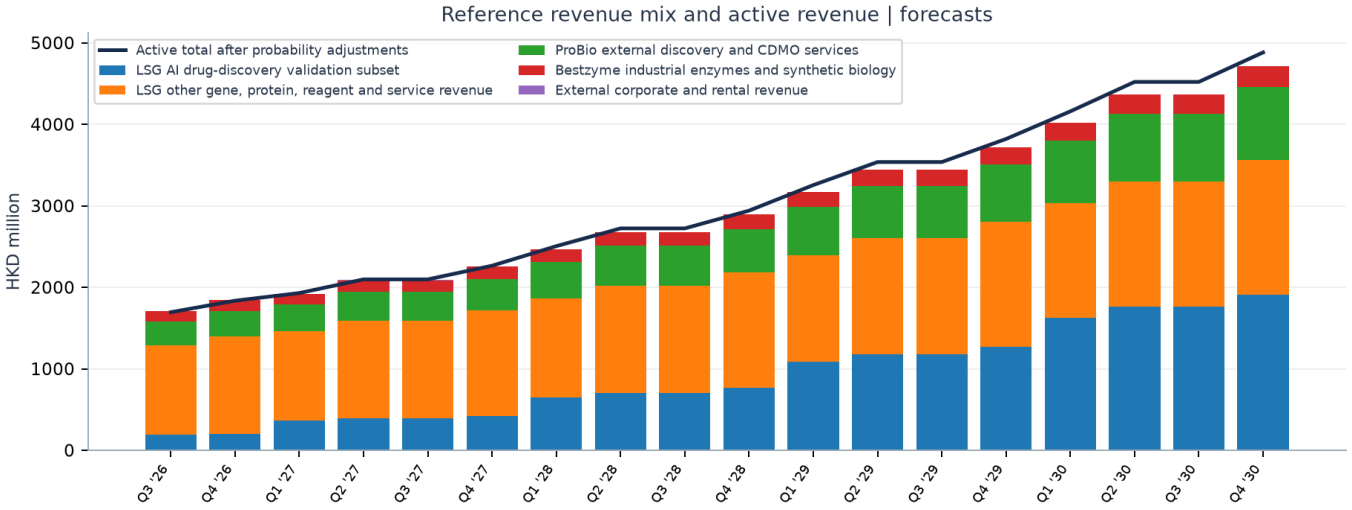
Quarter	End usable cash	Bank debt	Cash preferred settlement	Remaining preferred claim	Capex
Q1 2029	668.8	118.2	0.0	0.0	43.5
Q2 2029	748.3	118.2	0.0	0.0	47.3
Q3 2029	828.2	118.2	0.0	0.0	47.3
Q4 2029	889.8	93.2	0.0	0.0	51.1
Q1 2030	924.0	93.2	0.0	0.0	49.6
Q2 2030	1,048.5	93.2	0.0	0.0	53.9
Q3 2030	1,173.6	93.2	0.0	0.0	53.9
Q4 2030	1,284.1	68.2	0.0	0.0	58.2

The eight saved stress cases rebuild cash and claims. Spreadsheet probability controls isolate operating changes using the adopted financial claims; new scenarios require rebuilding the cash model. Ordinary minority interests are deducted from reference and incremental operating profit once. Preference holders are paid under the modeled cash-redemption path and are not also deducted as a second continuing earnings minority.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	15	Integrated gene synthesis, expression, purification and assay delivery can make reliable data and fast iteration valuable; competing workflows and in-house labs remain credible substitutes.
Cycle	7	LSG revenue and ex-refund margins improved sharply, while ProBio still loses operating money and customer funding remains cyclical.
TAM	7	AI drug discovery can buy many more physical validation experiments. Design counts are not automatically paid orders, and the disclosed AIDD revenue denominator is incomplete.
Catalysts	4	Second-half guidance execution, deployment of the September equity proceeds, ProBio capacity and any filed IPO prospectus, and 2027 profitability progression.
Macro	7	Higher biological compute demand supports validation services, but US-China access, biotech funding and clinical attrition can constrain conversion.
Alpha	3	Separate recurring laboratory earnings from LaNova milestones, tariff refunds, Legend accounting and liability-classified preferred interests.
Risk classes	-4	Four-point deduction for a demanding share price, undisclosed AIDD mix and unit margins, financing/ownership complexity, and market-access risk.
Total	39/60	Rounded Base 65. Both artifact and new workbook row use this score; this is not a manual override.

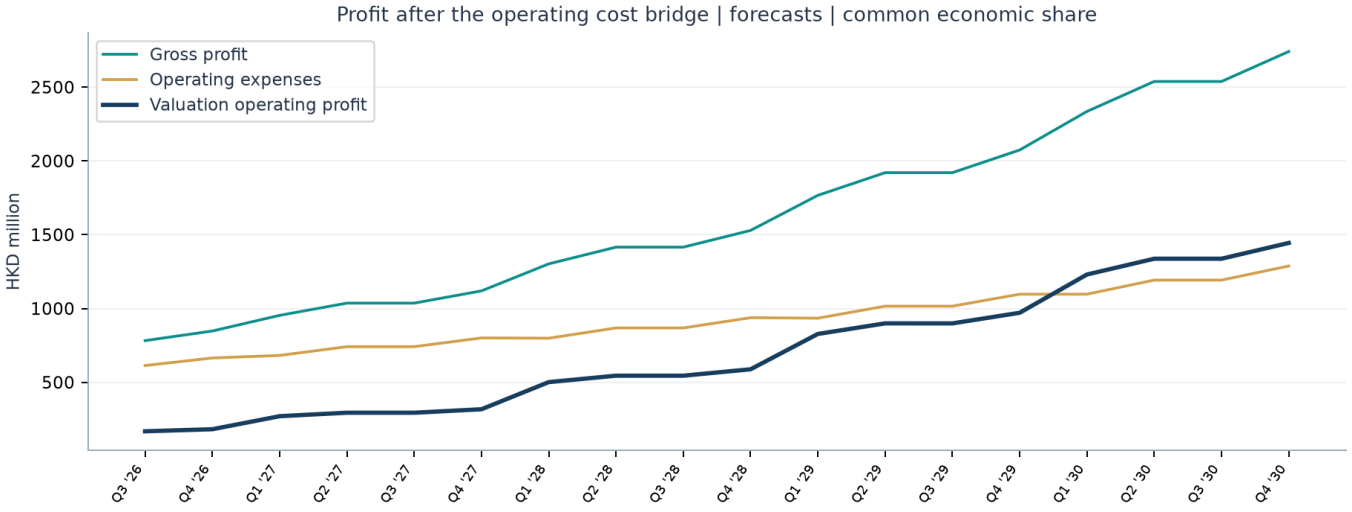
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	1,706.5	-12.0	1,694.5
Q4 2026	1,848.7	-13.0	1,835.7
Q1 2027	1,921.1	8.6	1,929.6
Q2 2027	2,088.1	9.3	2,097.4
Q3 2027	2,088.1	9.3	2,097.4
Q4 2027	2,255.2	10.1	2,265.2
Q1 2028	2,466.3	39.0	2,505.4
Q2 2028	2,680.8	42.4	2,723.2
Q3 2028	2,680.8	42.4	2,723.2
Q4 2028	2,895.3	45.8	2,941.1
Q1 2029	3,170.5	84.2	3,254.7
Q2 2029	3,446.2	91.6	3,537.7
Q3 2029	3,446.2	91.6	3,537.7
Q4 2029	3,721.9	98.9	3,820.7
Q1 2030	4,019.0	140.4	4,159.4
Q2 2030	4,368.5	152.6	4,521.1
Q3 2030	4,368.5	152.6	4,521.1
Q4 2030	4,718.0	164.8	4,882.8

Gross profit, operating expenses and earnings

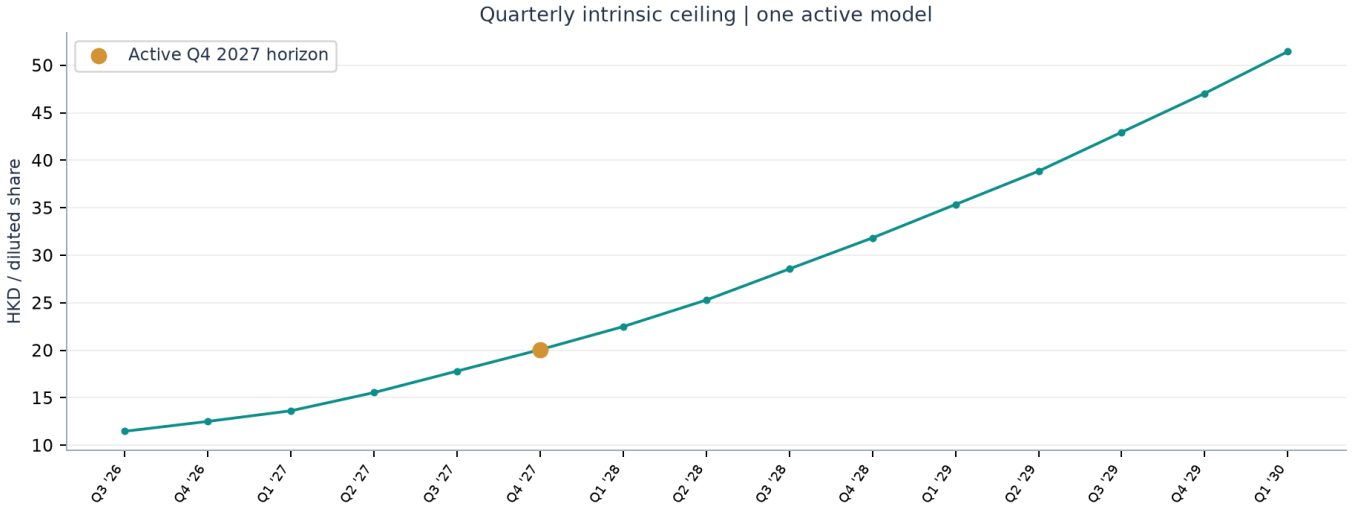


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Analyst forecast; HKD millions and ordinary shares millions	1,694.5	782.5	613.7	168.1	9.9%
Q4 2026 / Analyst forecast; HKD millions and ordinary shares millions	1,835.7	847.7	664.8	182.1	9.9%
Q1 2027 / Analyst forecast; HKD millions and ordinary shares millions	1,929.6	953.6	682.1	270.4	14.0%
Q2 2027 / Analyst forecast; HKD millions and ordinary shares millions	2,097.4	1,036.6	741.4	293.9	14.0%
Q3 2027 / Analyst forecast; HKD millions and ordinary shares millions	2,097.4	1,036.6	741.4	293.9	14.0%
Q4 2027 / Analyst forecast; HKD millions and ordinary shares millions	2,265.2	1,119.5	800.7	317.4	14.0%
Q1 2028 / Analyst forecast; HKD millions and ordinary shares millions	2,505.4	1,302.6	798.9	501.4	20.0%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q2 2028 / Analyst forecast; HKD millions and ordinary shares millions	2,723.2	1,415.9	868.3	544.9	20.0%
Q3 2028 / Analyst forecast; HKD millions and ordinary shares millions	2,723.2	1,415.9	868.3	544.8	20.0%
Q4 2028 / Analyst forecast; HKD millions and ordinary shares millions	2,941.1	1,529.1	937.8	588.2	20.0%
Q1 2029 / Analyst forecast; HKD millions and ordinary shares millions	3,254.7	1,766.9	934.6	827.7	25.4%
Q2 2029 / Analyst forecast; HKD millions and ordinary shares millions	3,537.7	1,920.5	1,015.8	899.4	25.4%
Q3 2029 / Analyst forecast; HKD millions and ordinary shares millions	3,537.7	1,920.5	1,015.8	899.2	25.4%
Q4 2029 / Analyst forecast; HKD millions and ordinary shares millions	3,820.7	2,074.1	1,097.1	971.1	25.4%
Q1 2030 / Analyst forecast; HKD millions and ordinary shares millions	4,159.4	2,335.4	1,097.2	1,230.4	29.6%
Q2 2030 / Analyst forecast; HKD millions and ordinary shares millions	4,521.1	2,538.4	1,192.6	1,337.4	29.6%
Q3 2030 / Analyst forecast; HKD millions and ordinary shares millions	4,521.1	2,538.4	1,192.6	1,337.4	29.6%
Q4 2030 / Analyst forecast; HKD millions and ordinary shares millions	4,882.8	2,741.5	1,288.0	1,444.4	29.6%

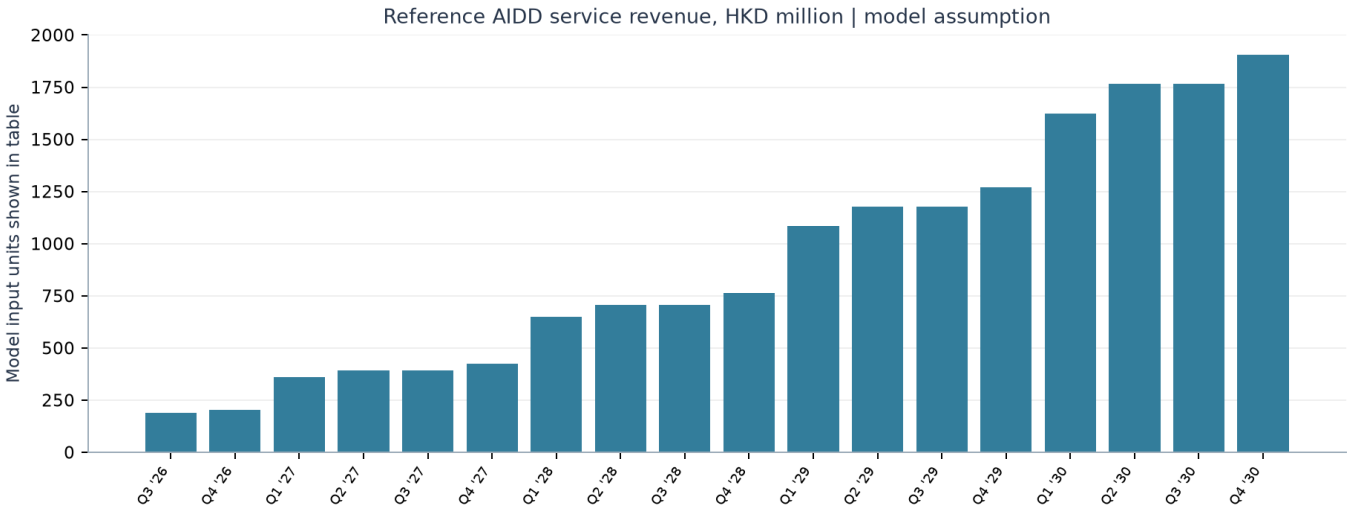
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	914.4	20x	2,300.246	11.47
Q4 2026	Q4 2026 to Q3 2027	1,040.3	20x	2,303.781	12.51
Q1 2027	Q1 2027 to Q4 2027	1,175.6	20x	2,307.599	13.63
Q2 2027	Q2 2027 to Q1 2028	1,406.6	20x	2,310.851	15.54
Q3 2027	Q3 2027 to Q2 2028	1,657.6	20x	2,314.386	17.81
Q4 2027	Q4 2027 to Q3 2028	1,908.4	20x	2,317.921	20.06
Q1 2028	Q1 2028 to Q4 2028	2,179.3	20x	2,321.738	22.49
Q2 2028	Q2 2028 to Q1 2029	2,505.6	20x	2,324.990	25.29
Q3 2028	Q3 2028 to Q2 2029	2,860.1	20x	2,328.525	28.56
Q4 2028	Q4 2028 to Q3 2029	3,214.5	20x	2,332.060	31.83
Q1 2029	Q1 2029 to Q4 2029	3,597.4	20x	2,335.878	35.35
Q2 2029	Q2 2029 to Q1 2030	4,000.2	20x	2,339.130	38.85
Q3 2029	Q3 2029 to Q2 2030	4,438.2	20x	2,342.665	42.95
Q4 2029	Q4 2029 to Q3 2030	4,876.4	20x	2,346.200	47.04
Q1 2030	Q1 2030 to Q4 2030	5,349.7	20x	2,350.017	51.45

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Reference AIDD service revenue, HKD million	Status
Q3 2026	188.347	Analyst forecast; HKD millions and ordinary shares millions
Q4 2026	204.043	Analyst forecast; HKD millions and ordinary shares millions
Q1 2027	360.999	Analyst forecast; HKD millions and ordinary shares millions
Q2 2027	392.390	Analyst forecast; HKD millions and ordinary shares millions
Q3 2027	392.390	Analyst forecast; HKD millions and ordinary shares millions
Q4 2027	423.781	Analyst forecast; HKD millions and ordinary shares millions
Q1 2028	649.798	Analyst forecast; HKD millions and ordinary shares millions
Q2 2028	706.302	Analyst forecast; HKD millions and ordinary shares millions
Q3 2028	706.302	Analyst forecast; HKD millions and ordinary shares millions
Q4 2028	762.806	Analyst forecast; HKD millions and ordinary shares millions
Q1 2029	1,082.997	Analyst forecast; HKD millions and ordinary shares millions
Q2 2029	1,177.170	Analyst forecast; HKD millions and ordinary shares millions

Quarter	Reference AIDD service revenue, HKD million	Status
Q3 2029	1,177.170	Analyst forecast; HKD millions and ordinary shares millions
Q4 2029	1,271.344	Analyst forecast; HKD millions and ordinary shares millions
Q1 2030	1,624.495	Analyst forecast; HKD millions and ordinary shares millions
Q2 2030	1,765.755	Analyst forecast; HKD millions and ordinary shares millions
Q3 2030	1,765.755	Analyst forecast; HKD millions and ordinary shares millions
Q4 2030	1,907.016	Analyst forecast; HKD millions and ordinary shares millions

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	LSG AI drug-discovery validation subset	188.3	68.0%	128.1
Q3 2026	LSG other gene, protein, reagent and service revenue	1,102.4	48.6%	535.9
Q3 2026	ProBio external discovery and CDMO services	289.9	24.4%	70.6
Q3 2026	Bestzyme industrial enzymes and synthetic biology	123.5	43.2%	53.3
Q3 2026	External corporate and rental revenue	2.3	20.0%	0.5
Q4 2026	LSG AI drug-discovery validation subset	204.0	68.0%	138.7
Q4 2026	LSG other gene, protein, reagent and service revenue	1,194.3	48.6%	580.5
Q4 2026	ProBio external discovery and CDMO services	314.1	24.4%	76.5
Q4 2026	Bestzyme industrial enzymes and synthetic biology	133.8	43.2%	57.8
Q4 2026	External corporate and rental revenue	2.5	20.0%	0.5
Q1 2027	LSG AI drug-discovery validation subset	361.0	68.0%	245.5
Q1 2027	LSG other gene, protein, reagent and service revenue	1,101.0	51.0%	561.5
Q1 2027	ProBio external discovery and CDMO services	324.9	25.0%	81.2
Q1 2027	Bestzyme industrial enzymes and synthetic biology	131.8	45.0%	59.3
Q1 2027	External corporate and rental revenue	2.3	20.0%	0.5
Q2 2027	LSG AI drug-discovery validation subset	392.4	68.0%	266.8
Q2 2027	LSG other gene, protein, reagent and service revenue	1,196.8	51.0%	610.4
Q2 2027	ProBio external discovery and CDMO services	353.2	25.0%	88.3
Q2 2027	Bestzyme industrial enzymes and synthetic biology	143.2	45.0%	64.5
Q2 2027	External corporate and rental revenue	2.6	20.0%	0.5
Q3 2027	LSG AI drug-discovery validation subset	392.4	68.0%	266.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2027	LSG other gene, protein, reagent and service revenue	1,196.8	51.0%	610.4
Q3 2027	ProBio external discovery and CDMO services	353.2	25.0%	88.3
Q3 2027	Bestzyme industrial enzymes and synthetic biology	143.2	45.0%	64.5
Q3 2027	External corporate and rental revenue	2.6	20.0%	0.5
Q4 2027	LSG AI drug-discovery validation subset	423.8	68.0%	288.2
Q4 2027	LSG other gene, protein, reagent and service revenue	1,292.5	51.0%	659.2
Q4 2027	ProBio external discovery and CDMO services	381.4	25.0%	95.4
Q4 2027	Bestzyme industrial enzymes and synthetic biology	154.7	45.0%	69.6
Q4 2027	External corporate and rental revenue	2.8	20.0%	0.6
Q1 2028	LSG AI drug-discovery validation subset	649.8	68.0%	441.9
Q1 2028	LSG other gene, protein, reagent and service revenue	1,209.3	51.0%	616.8
Q1 2028	ProBio external discovery and CDMO services	451.2	33.0%	148.9
Q1 2028	Bestzyme industrial enzymes and synthetic biology	153.4	46.0%	70.6
Q1 2028	External corporate and rental revenue	2.5	20.0%	0.5
Q2 2028	LSG AI drug-discovery validation subset	706.3	68.0%	480.3
Q2 2028	LSG other gene, protein, reagent and service revenue	1,314.5	51.0%	670.4
Q2 2028	ProBio external discovery and CDMO services	490.5	33.0%	161.9
Q2 2028	Bestzyme industrial enzymes and synthetic biology	166.8	46.0%	76.7
Q2 2028	External corporate and rental revenue	2.7	20.0%	0.5
Q3 2028	LSG AI drug-discovery validation subset	706.3	68.0%	480.3
Q3 2028	LSG other gene, protein, reagent and service revenue	1,314.5	51.0%	670.4
Q3 2028	ProBio external discovery and CDMO services	490.5	33.0%	161.9
Q3 2028	Bestzyme industrial enzymes and synthetic biology	166.8	46.0%	76.7
Q3 2028	External corporate and rental revenue	2.7	20.0%	0.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	LSG AI drug-discovery validation subset	762.8	68.0%	518.7
Q4 2028	LSG other gene, protein, reagent and service revenue	1,419.7	51.0%	724.0
Q4 2028	ProBio external discovery and CDMO services	529.7	33.0%	174.8
Q4 2028	Bestzyme industrial enzymes and synthetic biology	180.1	46.0%	82.8
Q4 2028	External corporate and rental revenue	3.0	20.0%	0.6
Q1 2029	LSG AI drug-discovery validation subset	1,083.0	68.0%	736.4
Q1 2029	LSG other gene, protein, reagent and service revenue	1,308.6	51.0%	667.4
Q1 2029	ProBio external discovery and CDMO services	595.6	38.0%	226.3
Q1 2029	Bestzyme industrial enzymes and synthetic biology	180.5	47.0%	84.8
Q1 2029	External corporate and rental revenue	2.7	20.0%	0.5
Q2 2029	LSG AI drug-discovery validation subset	1,177.2	68.0%	800.5
Q2 2029	LSG other gene, protein, reagent and service revenue	1,422.4	51.0%	725.4
Q2 2029	ProBio external discovery and CDMO services	647.4	38.0%	246.0
Q2 2029	Bestzyme industrial enzymes and synthetic biology	196.2	47.0%	92.2
Q2 2029	External corporate and rental revenue	2.9	20.0%	0.6
Q3 2029	LSG AI drug-discovery validation subset	1,177.2	68.0%	800.5
Q3 2029	LSG other gene, protein, reagent and service revenue	1,422.4	51.0%	725.4
Q3 2029	ProBio external discovery and CDMO services	647.4	38.0%	246.0
Q3 2029	Bestzyme industrial enzymes and synthetic biology	196.2	47.0%	92.2
Q3 2029	External corporate and rental revenue	2.9	20.0%	0.6
Q4 2029	LSG AI drug-discovery validation subset	1,271.3	68.0%	864.5
Q4 2029	LSG other gene, protein, reagent and service revenue	1,536.2	51.0%	783.5
Q4 2029	ProBio external discovery and CDMO services	699.2	38.0%	265.7
Q4 2029	Bestzyme industrial enzymes and synthetic biology	211.9	47.0%	99.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2029	External corporate and rental revenue	3.2	20.0%	0.6
Q1 2030	LSG AI drug-discovery validation subset	1,624.5	68.0%	1,104.7
Q1 2030	LSG other gene, protein, reagent and service revenue	1,407.9	51.0%	718.0
Q1 2030	ProBio external discovery and CDMO services	767.1	42.0%	322.2
Q1 2030	Bestzyme industrial enzymes and synthetic biology	216.6	48.0%	104.0
Q1 2030	External corporate and rental revenue	2.9	20.0%	0.6
Q2 2030	LSG AI drug-discovery validation subset	1,765.8	68.0%	1,200.7
Q2 2030	LSG other gene, protein, reagent and service revenue	1,530.3	51.0%	780.5
Q2 2030	ProBio external discovery and CDMO services	833.8	42.0%	350.2
Q2 2030	Bestzyme industrial enzymes and synthetic biology	235.4	48.0%	113.0
Q2 2030	External corporate and rental revenue	3.1	20.0%	0.6
Q3 2030	LSG AI drug-discovery validation subset	1,765.8	68.0%	1,200.7
Q3 2030	LSG other gene, protein, reagent and service revenue	1,530.3	51.0%	780.5
Q3 2030	ProBio external discovery and CDMO services	833.8	42.0%	350.2
Q3 2030	Bestzyme industrial enzymes and synthetic biology	235.4	48.0%	113.0
Q3 2030	External corporate and rental revenue	3.1	20.0%	0.6
Q4 2030	LSG AI drug-discovery validation subset	1,907.0	68.0%	1,296.8
Q4 2030	LSG other gene, protein, reagent and service revenue	1,652.7	51.0%	842.9
Q4 2030	ProBio external discovery and CDMO services	900.5	42.0%	378.2
Q4 2030	Bestzyme industrial enzymes and synthetic biology	254.3	48.0%	122.0
Q4 2030	External corporate and rental revenue	3.4	20.0%	0.7

Operating-cost derivation

Quarter	All research and development, including new AIDD workflow work	Selling, administration, central and customer-support costs including SBC	Credit losses and other operating provisions
Q3 2026	175.4	432.8	5.2
Q4 2026	190.0	468.9	5.7
Q1 2027	189.5	481.9	4.5
Q2 2027	206.0	523.8	4.9
Q3 2027	206.0	523.8	4.9
Q4 2027	222.5	565.7	5.3
Q1 2028	222.0	555.9	5.4
Q2 2028	241.3	604.3	5.9
Q3 2028	241.3	604.3	5.9
Q4 2028	260.6	652.6	6.4
Q1 2029	261.7	637.2	6.3
Q2 2029	284.5	692.6	6.9
Q3 2029	284.5	692.6	6.9
Q4 2029	307.2	748.0	7.4
Q1 2030	312.3	731.0	7.2
Q2 2030	339.4	794.6	7.8
Q3 2030	339.4	794.6	7.8
Q4 2030	366.6	858.2	8.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	GENSCRIPT-AIDD-VALIDATION	55%	0.0	0.0	0.0	0.0
Q3 2026	GENSCRIPT-PROBIO-ORDERS	45%	0.0	0.0	0.0	0.0
Q3 2026	GENSCRIPT-SPEED-PREMIUM	50%	0.2	0.2	0.1	0.1
Q3 2026	GENSCRIPT-MARKET-ACCESS	25%	-48.4	-24.2	1.0	-6.3
Q4 2026	GENSCRIPT-AIDD-VALIDATION	55%	0.0	0.0	0.0	0.0
Q4 2026	GENSCRIPT-PROBIO-ORDERS	45%	0.0	0.0	0.0	0.0
Q4 2026	GENSCRIPT-SPEED-PREMIUM	50%	0.2	0.2	0.1	0.1
Q4 2026	GENSCRIPT-MARKET-ACCESS	25%	-52.4	-26.2	1.1	-6.8
Q1 2027	GENSCRIPT-AIDD-VALIDATION	55%	21.7	14.1	6.5	4.2
Q1 2027	GENSCRIPT-PROBIO-ORDERS	45%	22.6	10.2	5.6	2.0
Q1 2027	GENSCRIPT-SPEED-PREMIUM	50%	0.4	0.3	0.1	0.1
Q1 2027	GENSCRIPT-MARKET-ACCESS	25%	-54.8	-27.4	-0.1	-6.8
Q2 2027	GENSCRIPT-AIDD-VALIDATION	55%	23.5	15.3	7.1	4.5
Q2 2027	GENSCRIPT-PROBIO-ORDERS	45%	24.5	11.0	6.1	2.2
Q2 2027	GENSCRIPT-SPEED-PREMIUM	50%	0.5	0.4	0.1	0.1
Q2 2027	GENSCRIPT-MARKET-ACCESS	25%	-59.6	-29.8	-0.1	-7.4
Q3 2027	GENSCRIPT-AIDD-VALIDATION	55%	23.5	15.3	7.1	4.5
Q3 2027	GENSCRIPT-PROBIO-ORDERS	45%	24.5	11.0	6.1	2.2

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2027	GENSCRIPT-SPEED-PREMIUM	50%	0.5	0.4	0.1	0.1
Q3 2027	GENSCRIPT-MARKET-ACCESS	25%	-59.6	-29.8	-0.1	-7.4
Q4 2027	GENSCRIPT-AIDD-VALIDATION	55%	25.4	16.5	7.6	4.9
Q4 2027	GENSCRIPT-PROBIO-ORDERS	45%	26.5	11.9	6.6	2.4
Q4 2027	GENSCRIPT-SPEED-PREMIUM	50%	0.5	0.4	0.1	0.1
Q4 2027	GENSCRIPT-MARKET-ACCESS	25%	-64.4	-32.2	-0.1	-8.0
Q1 2028	GENSCRIPT-AIDD-VALIDATION	55%	65.0	42.2	19.5	12.5
Q1 2028	GENSCRIPT-PROBIO-ORDERS	45%	45.1	20.3	11.3	4.0
Q1 2028	GENSCRIPT-SPEED-PREMIUM	50%	0.8	0.6	0.2	0.2
Q1 2028	GENSCRIPT-MARKET-ACCESS	25%	-69.7	-34.9	-1.6	-8.3
Q2 2028	GENSCRIPT-AIDD-VALIDATION	55%	70.6	45.9	21.2	13.6
Q2 2028	GENSCRIPT-PROBIO-ORDERS	45%	49.0	22.1	12.3	4.4
Q2 2028	GENSCRIPT-SPEED-PREMIUM	50%	0.8	0.7	0.2	0.2
Q2 2028	GENSCRIPT-MARKET-ACCESS	25%	-75.8	-37.9	-1.7	-9.0
Q3 2028	GENSCRIPT-AIDD-VALIDATION	55%	70.6	45.9	21.2	13.6
Q3 2028	GENSCRIPT-PROBIO-ORDERS	45%	49.0	22.1	12.3	4.4
Q3 2028	GENSCRIPT-SPEED-PREMIUM	50%	0.8	0.7	0.2	0.2
Q3 2028	GENSCRIPT-MARKET-ACCESS	25%	-75.8	-37.9	-1.7	-9.0
Q4 2028	GENSCRIPT-AIDD-VALIDATION	55%	76.3	49.6	22.9	14.7
Q4 2028	GENSCRIPT-PROBIO-ORDERS	45%	53.0	23.8	13.2	4.7

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2028	GENSCRIPT-SPEED-PREMIUM	50%	0.9	0.7	0.2	0.3
Q4 2028	GENSCRIPT-MARKET-ACCESS	25%	-81.8	-40.9	-1.8	-9.8
Q1 2029	GENSCRIPT-AIDD-VALIDATION	55%	130.0	84.5	39.0	25.0
Q1 2029	GENSCRIPT-PROBIO-ORDERS	45%	76.7	34.5	19.2	6.8
Q1 2029	GENSCRIPT-SPEED-PREMIUM	50%	1.3	1.0	0.3	0.4
Q1 2029	GENSCRIPT-MARKET-ACCESS	25%	-89.7	-44.8	-3.6	-10.3
Q2 2029	GENSCRIPT-AIDD-VALIDATION	55%	141.3	91.8	42.4	27.1
Q2 2029	GENSCRIPT-PROBIO-ORDERS	45%	83.4	37.5	20.8	7.4
Q2 2029	GENSCRIPT-SPEED-PREMIUM	50%	1.4	1.1	0.4	0.4
Q2 2029	GENSCRIPT-MARKET-ACCESS	25%	-97.5	-48.7	-3.9	-11.2
Q3 2029	GENSCRIPT-AIDD-VALIDATION	55%	141.3	91.8	42.4	27.1
Q3 2029	GENSCRIPT-PROBIO-ORDERS	45%	83.4	37.5	20.8	7.4
Q3 2029	GENSCRIPT-SPEED-PREMIUM	50%	1.4	1.1	0.4	0.4
Q3 2029	GENSCRIPT-MARKET-ACCESS	25%	-97.5	-48.7	-3.9	-11.2
Q4 2029	GENSCRIPT-AIDD-VALIDATION	55%	152.6	99.2	45.8	29.3
Q4 2029	GENSCRIPT-PROBIO-ORDERS	45%	90.1	40.5	22.5	7.9
Q4 2029	GENSCRIPT-SPEED-PREMIUM	50%	1.5	1.2	0.4	0.4
Q4 2029	GENSCRIPT-MARKET-ACCESS	25%	-105.3	-52.6	-4.2	-12.1
Q1 2030	GENSCRIPT-AIDD-VALIDATION	55%	216.6	140.8	65.0	41.6
Q1 2030	GENSCRIPT-PROBIO-ORDERS	45%	108.3	48.7	27.1	9.6

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2030	GENSCRIPT-SPEED-PREMIUM	50%	2.0	1.6	0.5	0.5
Q1 2030	GENSCRIPT-MARKET-ACCESS	25%	-113.7	-56.9	-6.0	-12.7
Q2 2030	GENSCRIPT-AIDD-VALIDATION	55%	235.4	153.0	70.6	45.2
Q2 2030	GENSCRIPT-PROBIO-ORDERS	45%	117.7	53.0	29.4	10.4
Q2 2030	GENSCRIPT-SPEED-PREMIUM	50%	2.1	1.7	0.5	0.6
Q2 2030	GENSCRIPT-MARKET-ACCESS	25%	-123.6	-61.8	-6.5	-13.8
Q3 2030	GENSCRIPT-AIDD-VALIDATION	55%	235.4	153.0	70.6	45.2
Q3 2030	GENSCRIPT-PROBIO-ORDERS	45%	117.7	53.0	29.4	10.4
Q3 2030	GENSCRIPT-SPEED-PREMIUM	50%	2.1	1.7	0.5	0.6
Q3 2030	GENSCRIPT-MARKET-ACCESS	25%	-123.6	-61.8	-6.5	-13.8
Q4 2030	GENSCRIPT-AIDD-VALIDATION	55%	254.3	165.3	76.3	48.8
Q4 2030	GENSCRIPT-PROBIO-ORDERS	45%	127.1	57.2	31.8	11.2
Q4 2030	GENSCRIPT-SPEED-PREMIUM	50%	2.3	1.8	0.6	0.6
Q4 2030	GENSCRIPT-MARKET-ACCESS	25%	-133.5	-66.7	-7.0	-14.9

Subsidiary ownership and common operating profit

The preceding weighted OP is after branch-specific minority earnings. Reference and conditional subsidiary profit are allocated within consolidated sales and costs, never added as a second revenue source. Ownership is reported; future subsidiary margins, volume and credit sharing are labeled assumptions.

Quarter	Consolidated OP	Reference minority	Active minority	Common OP
Q3 2026	168.7	0.7	0.7	168.1
Q4 2026	182.8	0.8	0.8	182.1
Q1 2027	271.5	1.1	1.1	270.4
Q2 2027	295.1	1.2	1.2	293.9
Q3 2027	295.1	1.2	1.2	293.9
Q4 2027	318.7	1.3	1.3	317.4
Q1 2028	503.7	2.3	2.3	501.4
Q2 2028	547.5	2.6	2.6	544.9
Q3 2028	547.5	2.7	2.7	544.8
Q4 2028	591.3	3.0	3.1	588.2
Q1 2029	832.3	4.5	4.6	827.7
Q2 2029	904.7	5.1	5.3	899.4
Q3 2029	904.7	5.3	5.5	899.2
Q4 2029	977.1	5.7	5.9	971.1
Q1 2030	1,238.2	7.5	7.7	1,230.4
Q2 2030	1,345.8	8.1	8.4	1,337.4
Q3 2030	1,345.8	8.1	8.4	1,337.4
Q4 2030	1,453.5	8.8	9.1	1,444.4

Enterprise-to-equity reconciliation

20x parent-attributable forward-four-quarter fully expensed core operating profit, using the displayed quarter plus the next three. Deduct matched end-window financial debt, leases and unpaid preferred claims; credit cash above a USD150m operating reserve, 50% of the dated Legend stake market value after a further 10% tax and disposal reserve, and 50% of other investment carrying values. All model financial amounts are HKD millions at a fixed 7.847801538023967 HKD per USD; divide by end-window ordinary shares in millions.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	-8,099.3	0.0	-8,099.3	11.47
Q4 2026	Q3 2027	-8,020.1	0.0	-8,020.1	12.51
Q1 2027	Q4 2027	-7,939.8	0.0	-7,939.8	13.63
Q2 2027	Q1 2028	-7,789.3	0.0	-7,789.3	15.54
Q3 2027	Q2 2028	-8,061.1	0.0	-8,061.1	17.81
Q4 2027	Q3 2028	-8,334.0	0.0	-8,334.0	20.06
Q1 2028	Q4 2028	-8,630.6	0.0	-8,630.6	22.49
Q2 2028	Q1 2029	-8,683.0	0.0	-8,683.0	25.29
Q3 2028	Q2 2029	-9,307.2	0.0	-9,307.2	28.56
Q4 2028	Q3 2029	-9,933.9	0.0	-9,933.9	31.83
Q1 2029	Q4 2029	-10,613.8	0.0	-10,613.8	35.35
Q2 2029	Q1 2030	-10,882.4	0.0	-10,882.4	38.85
Q3 2029	Q2 2030	-11,859.4	0.0	-11,859.4	42.95
Q4 2029	Q3 2030	-12,840.7	0.0	-12,840.7	47.04
Q1 2030	Q4 2030	-13,904.1	0.0	-13,904.1	51.45

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

GENSCRIPT-AIDD-VALIDATION

p: 0.55

overlap: 0.6

Conditional: Additional external AIDD validation sales of USD0/30/90/180/300m in CY2026/27/28/29/30, above the reference USD100/200/360/600/900m AIDD subset. These are analyst allocations, not disclosed segment forecasts.

bridge: Reserve 60% for overlap with already rapid reference growth. Residual sales earn 65% GP less 30% R&D, application scientists, assay quality, selling and support costs, or 35% incremental OP. Incremental cash capex is 20% of expected incremental sales and ordinary depreciation of 6% is already included in GP, then added back for cash only. Working capital is rebuilt.

reason: Management reports repeated AIDD doubling, paid demand extending into structured experimental data, and funding for automated wet labs. The exact AIDD revenue base, realized throughput and repeat-order retention are undisclosed, so probability is 55% rather than certainty.

bounds: Probability 35-70%; CY2028 additional conditional sales USD40-120m; overlap 40-80%; OP contribution 25-40%.

GENSCRIPT-PROBIO-ORDERS

p: 0.45

overlap: 0.5

Conditional: Additional ProBio revenue of USD0/25/50/85/120m in CY2026-30 from qualified discovery, CMC and manufacturing orders beyond the reference USD135/180/250/330/425m.

bridge: After 50% overlap, residual sales earn 45% GP less 25% incremental scientific, quality, regulatory and commercial expense, or 20% OP. The branch is booked on service delivery, not order signature. Existing annual capex funds the planned facilities; incremental capex and working capital are additional.

reason: H1 orders grew 54%, with New Jersey lentiviral manufacturing and a Zhenjiang 2,000L suite progressing. AIDD orders do not establish clinical success or commercial manufacturing demand. Probability 45%.

GENSCRIPT-SPEED-PREMIUM

p: 0.5

overlap: 0.75

Conditional: A further 2% premium on 25% of new or repriceable reference AIDD work, excluding the extra volume branch and existing fixed contracts.

bridge: Reserve 75% for overlap with the high-margin AIDD reference. Residual pricing dollars contribute 80% GP less 25% expedited labor, quality and support costs, or 55% OP. Before pricing, exclude the full bounded lost-sales cohort (3.75% of reference AIDD work), even when the risk does not occur, to avoid premiums on unavailable work.

reason: Management explicitly says AI customers pay for fast feedback and structured data. Its claimed margin advantage is not an independently verified universal premium. Use a small bounded premium with 50% probability, not the entire claimed 20 percentage-point difference as new group margin.

GENSCRIPT-MARKET-ACCESS

p: 0.25

overlap: 0.25

Conditional: Loss of 10% of the approximately 50% North American LSG business under a funding, procurement or cross-border compliance shock.

bridge: Reserve 25% for ordinary uncertainty already in reference growth. Residual lost sales remove 50% GP with only 10% revenue-equivalent variable expense savings, plus USD3m annual compliance cost. Cash, capex and financing are rebuilt.

reason: Geopolitics and customer funding are disclosed risks. This is an analyst stress probability, not a claim that GenScript is currently sanctioned or has lost a named customer.

GENSCRIPT-LANOVA

p: 0.2

overlap: 1

increment: 0

zero reason: A hypothetical USD10-30m new milestone could be material but there is no matched milestone, date or payment evidence. The prior USD201.360m first-half license event is nonrecurring. No recurring 20x capitalization is assigned; current small ordinary license income stays within ProBio reference.

GENSCRIPT-BESTZYME-AI

p: 0.5

overlap: 1

increment: 0

zero reason: A bounded USD5-10m additional enzyme/product opportunity by 2028 is already inside growth from about USD63m in 2026 to USD85m in 2028 and GP expansion to 46%. Single-product margin improvements are not applied to the whole segment.

GENSCRIPT-PROBIO-IPO

p: 0.5

overlap: 1

increment: 0

zero reason: September 4 disclosed permission to proceed, not a completed offering, valuation, date, proceeds or final ownership. The current model pays preferred claims in cash and retains the operating business. An IPO must replace that treatment with actual proceeds, conversion and post-offering minority OP, not be added as free equity value.

GENSCRIPT-LEGEND

p: 1

overlap: 1

increment: 0

zero reason: Legend's June-owned 174.497556m ordinary shares equal 87.248778m ADS at two ordinary per ADS. At the October 9 USD18.62 close the gross stake is USD1624.57224636m. The model credits 50% realizability and retains a further 10% tax/disposal reserve; it excludes all Legend earnings from core OP and assumes no sale or dividend for funding.

GENSCRIPT-COMPETITOR-COMPARISON

p: 0.5

overlap: 1

increment: 0

zero reason: Management's throughput, turnaround, price and assay-variability comparisons with Twist are interested-party claims with unmatched workload and acceptance scopes. They support testing a service-quality moat but do not establish market-share displacement; no separate share-gain layer is added above the AIDD branch.

Remaining bounded uncertainties

- LSG AIDD sales, unit pricing, paid design throughput and acceptance yields are not separately reported. The USD100m 2026 AIDD allocation has a USD50-150m scope bound within total LSG sales. Reference AIDD growth is an explicit optimistic working assumption, not reported revenue guidance for that subset.

- Product GP and expense allocations are estimates. H1 actual reported GP is normalized by a roughly USD7.656m tariff-refund proxy derived from the issuer's rounded 2.4-point margin bridge. SBC remains charged. The forward model assumes no recurring refund and no recurring LaNova milestone.

- The primary prepared management remarks and third-party Q&A reproductions were reviewed. Q&A contains clear transcription mistakes, including annual base-pair growth turned into market share. Primary written figures control; competitive claims remain attributed and unverified.

- The core model includes USD130m 2026 capex indicated in the August call. September's placement subsequently earmarked about 70% for AIDD capacity and 20% for R&D/digital/commercial work. Higher 2027-28 capex and expensed R&D are assumptions; actual spending timing and asset useful lives are undisclosed.

- Preferred claims are modeled redeemed together in Q4 2027 at their June USD361.655m carrying amount compounded at 8% annually. This is a conservative financing scenario, not a disclosed maturity or agreed settlement price. The current liability label does not prove imminent cash demand. A 20% payout premium and earlier payment are stress-tested.

- Bestzyme ordinary minority ownership is estimated at 6.88%, separating the 10.4168% redeemable preferred investment from the reported 83.42% parent economic interest. It is deducted from fully costed segment OP once. ProBio employee awards reach 1.8% assumed ordinary dilution over three years; no additional preferred minority earnings claim is imposed on the cash-redemption path.

- September's monthly return establishes 2,283.670726m issued ordinary shares and 9.788423m remaining options. The remaining RSU pool is estimated net of post-June issuance and the June trustee pool; future annual net grants of 8m shares are an assumption. June financial and shareholding tables differ by 1.686334m shares, so September's statutory return is the controlling starting count; a full grant-register reconciliation remains a watch item.

- Legend holdings are as of June, marked at the October 9 ADS close. There is no verified sale after June in the reviewed material. The 50% realizability haircut and additional 10% tax/disposal reserve are valuation assumptions, not tax advice or evidence of a distribution plan. No part of that credit is used as operating cash.

- Liquid resources include USD378.691m of non-principal-guaranteed short-duration wealth products. Restricted cash is excluded. Cash pooling and repatriation may be constrained; a USD150m operating reserve is retained. Only USD250m of additional borrowing is permitted analytically, below disclosed unused general facilities of USD523.3m and excluding the separate USD499.1m low-risk facilities.

- No Q3 financial statement is yet available. July-August option exercise receipts are not verified and are omitted; only the disclosed September HKD85.328526m receipt and the HKD2327.1m placement enter the modeled opening period. No future unconfirmed equity raise finances the central plan.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

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